

bull market, no price is too high, and in fact, investors seem to get a kick out of buying IPOs at inflated prices. But in an uncertain market, they fuss about operating ratios, earnings growth and business models.

A2Z wanted to raise Rs 675 crore through issue of fresh shares; and some of the existing investors – Rakesh included – were looking to sell a portion of their holdings in the IPO. The total size of the issue – newly issued shares and shares offered by existing investors – was around Rs 860 crore, at Rs 400 a share. At that price, Jhunjhunwala's stake in the company was worth nearly Rs 500 crore – a return of 25 times for him in less than five years. He had offered 5 lakh shares in the IPO, enough to recoup his initial investment and still be left with plenty.

The company set a price band of Rs 400-410 for the issue, and even before it opened for bidding, raised Rs 125 crore by placing a portion of the issue with anchor investors at Rs 400 a share. But other institutional investors did not show the same enthusiasm, as they felt the issue was overpriced. Even HNIs were not excited about the issue.

A couple of days before the issue opened for bidding GB rang me, calling me for a chat over beer at Geoffrey's.

'Are you trying to sell A2Z to me?' I asked him after we ordered beer.

He grinned. 'I think we know each other well enough to the point of being able to read each other's thoughts.'

'Give me the pitch,' I said, smiling back.

'Bhaiyya is convinced this is a great company in the making,' GB said.

'I guess that seals the decision. But fund managers don't seem convinced, and to be frank, neither am I. The company seems to be asking for too much,' I said.

'You put too much faith in fund managers' ability to assess a company's worth,' he said.

'They may not be the final authority on valuation, but neither are they fools. Most of them made good money in the Coal India IPO, and it is not as if we have slipped back into a bear market. Still, they are reluctant to invest, and that says something,' I said, standing my ground.

'I won't push you beyond a point, Lala. But let me put it this way: it will make me happy if you bid for a decent chunk. Besides, don't forget you have made good money off Bhaiyya's ideas in the past,' GB said, sipping his beer. His voice now seemed to have lost some of its amiability.

I could sense his displeasure and tried to make amends quickly.